

Growth over inflation: On economic expansion over inflation control

The interest rate cut **signals** a shift in the Reserve Bank of India's immediate priorities

For the first time in nearly five years, the **Monetary Policy Committee** (MPC) of the Reserve Bank of India (RBI) **pivoted** on interest rates, **unanimously** deciding to cut the **benchmark repo rate** from 6.50% to 6.25%. This **move**, while maintaining a **neutral stance**, **marks** a significant **departure** from the previous bi-monthly review, where the committee had **opted** for the **status quo** with a 4:2 vote. At the time, the MPC was **contending** with inflation at a 15-month high of 6.2% in October and a **sluggish** second-quarter GDP growth of 5.4%. Now, with inflation **moderating** to 5.2% in December, still above the RBI's 4% target, and growth **projections** for 2024-25 slipping to a four-year low of 6.4%, the central bank appears to be prioritising economic **expansion** over inflation control. RBI Governor Sanjay **Malhotra**, in his first policy review, **highlighted** the challenges **posed** by global economic uncertainties, including **stalled disinflation**, **diminishing prospects** of rate cuts in the U.S., and a stronger dollar pressuring emerging markets and their currencies, including the rupee. These factors have complicated policy **trade-offs** for India, **making the case** for supporting growth even stronger. The MPC justified its decision to look past current inflationary concerns, **citing** expectations that price pressures will **ease** further, with inflation **projected** to average 4.2% in 2025-26 from 4.8% this year. This **outlook hinges on** assumptions of a favourable food inflation **trajectory**, a normal monsoon, and a bumper harvest of key vegetables such as tomato, onion, and potato, which are, historically, major contributors to price spikes. While inflation remains a concern, the panel has signalled that weak economic growth is more **pressing**, especially **given** the second-quarter slump and limited signs of recovery since then. The RBI's post-Budget policy stance also suggests closer **alignment** with fiscal policy, **apparently heeding** the government's call for monetary and fiscal measures to work **in tandem** rather than **at cross-purposes**. Whether the Budget's **stimulus measures**, combined with the rate cut, **will** revive consumption, attract private investment, and boost growth remains uncertain.

Interestingly, **had** the MPC met a week later, it might have had additional justification for the rate cut, given expectations that inflation in January could have **cooled** to around 4.5%. With a new Governor **at the helm** and an upcoming appointment for the Deputy Governor **overseeing** monetary policy, the RBI could consider adjusting the MPC's review schedule to **incorporate** the latest inflation data. A **slight shift** in the timing of its bi-monthly meetings **could** make monetary policy more responsive and data-driven, **enhancing** the committee's ability to justify its stance with real-time economic indicators.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb' **[Practice Exercise]**
- **Had** (conjunction) – If अगर

Vocabulary

1. **Inflation** (noun) – Price rise, cost escalation, economic overheating, monetary expansion, devaluation महंगाई
2. **Signal** (verb) – Indicate, show, convey, suggest, point to संकेत देना
3. **Monetary policy committee** (noun) – a committee that determines the interest rates in India. The committee is made up of six members, including the Governor of the Reserve Bank of India (RBI) and three members appointed by the government. मौद्रिक नीति समिति
4. **Pivot** (verb) – Shift, turn, adjust, change course, reorient केंद्रित होना
5. **Unanimously** (adverb) – Collectively, in agreement, with one voice, without opposition, universally सर्वसम्मति से
6. **Benchmark repo rate** (noun) – a benchmark interest rate that the Reserve Bank of India (RBI) uses to lend money to commercial banks. It's also known as the repurchase rate मानक रेपो दर
7. **Neutral** (adjective) – Balanced, impartial, unbiased, moderate, non-aligned तटस्थ
8. **Stance** (noun) – Position, approach, viewpoint, perspective, policy रुख
9. **Mark** (verb) – Indicate, signify, highlight, denote, represent संकेत करना
10. **Departure** (noun) – Deviation, change, shift, divergence, variation बदलाव
11. **Opt** (verb) – Choose, decide, prefer, select, go for चुनना
12. **Status quo** (noun) – Existing state, current situation, unchanged condition, present scenario, static phase यथास्थिति
13. **Contend** (verb) – Struggle, argue, deal with, face, confront सामना करना
14. **Sluggish** (adjective) – Slow, weak, dull, stagnant, lethargic सुस्त
15. **Moderate** (verb) – Reduce, control, regulate, ease, tone down नियंत्रित करना
16. **Projection** (noun) – Forecast, estimate, prediction, outlook, expectation अनुमान
17. **Expansion** (noun) – Growth, increase, extension, enlargement, development विस्तार
18. **Highlight** (verb) – Emphasize, underscore, draw attention to, accentuate, bring to light जोर देना
19. **Pose** (verb) – Present, create, cause, bring about, give rise to उत्पन्न करना
20. **Stall** (verb) – Delay, stop, halt, hinder, obstruct रोकना
21. **Disinflation** (noun) – reduction in the rate of inflation मुद्रास्फीति की गति में कमी

22. **Diminishing** (adjective) – Decreasing, reducing, declining, lessening, shrinking घटता हुआ
23. **Prospect** (noun) – Possibility, potential, likelihood, future scenario, expectation संभावना
24. **Trade-off** (noun) – Compromise, balancing act, exchange, adjustment, concession समझौता
25. **Make the case for** (phrase) – Advocate, justify, argue in favor of, support, defend उचित ठहराना
26. **Cite** (verb) – Mention, refer to, quote, highlight, point out हवाला देना
27. **Ease** (verb) – Reduce, relax, alleviate, relieve, moderate कम करना
28. **Project** (verb) – Predict, estimate, forecast, foresee, calculate अनुमान लगाना
29. **Outlook** (noun) – Future perspective, expectation, forecast, scenario, estimation दृष्टिकोण
30. **Hinge** (on) (verb) – Depend on, be based on, revolve around, be contingent upon, rely on निर्भर करना
31. **Trajectory** (noun) – Path, direction, course, development, trend प्रक्षेप पथ
32. **Pressing** (adjective) – Urgent, crucial, important, critical, immediate अत्यावश्यक
33. **Given** (preposition) – Considering, taking into account, in light of, keeping in mind, based on ध्यान में रखते हुए
34. **Alignment** (noun) – Coordination, conformity, agreement, arrangement, synchronization तालमेल
35. **Apparently** (adverb) – Seemingly, evidently, supposedly, presumably, as it appears स्पष्ट रूप से
36. **Heed** (verb) – Pay attention to, consider, follow, take notice of, observe ध्यान देना
37. **In tandem** (phrase) – Together, simultaneously, side by side, in parallel, in cooperation एक साथ
38. **At cross-purpose** (phrase) – In conflict, working against, not aligned, contradicting, opposing विरोध में
39. **Stimulus** (noun) – Boost, incentive, motivation, push, encouragement प्रोत्साहन
40. **Cool** (verb) – Reduce, bring down, moderate, lower, stabilize कम करना
41. **At the helm** (phrase) – In charge, leading, in control, directing, managing नियंत्रण में
42. **Oversee** (verb) – Supervise, monitor, manage, direct, regulate निगरानी करना
43. **Incorporate** (verb) – Include, integrate, combine, merge, add शामिल करना

44. **Slight** (adjective) – Small, minor, negligible, minimal, insignificant मामूली

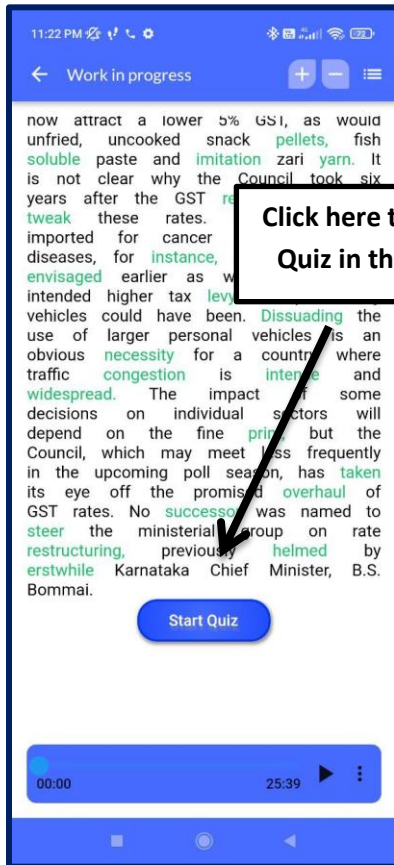
45. **Enhance** (verb) – Improve, boost, augment, strengthen, refine बढ़ाना

@mocks_wallah

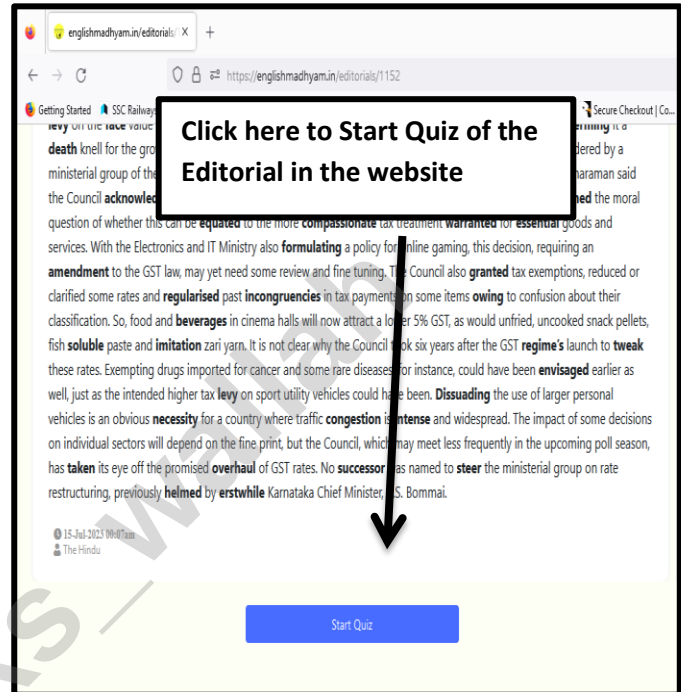
Summary of the Editorial

1. **RBI's Interest Rate Cut** – The Reserve Bank of India's (RBI) Monetary Policy Committee (MPC) has cut the repo rate from 6.50% to 6.25%, marking the first rate cut in nearly five years.
2. **Shift in Priorities** – This decision signals a shift in the RBI's priorities, focusing more on economic growth than controlling inflation.
3. **Previous Policy Stance** – In the last policy review, the MPC maintained the status quo with a 4:2 vote, as inflation was high at 6.2% in October and GDP growth was sluggish at 5.4%.
4. **Current Economic Conditions** – Inflation has now moderated to 5.2% (December), still above the 4% target, while GDP growth projections for 2024-25 have dipped to 6.4%, the lowest in four years.
5. **Global Economic Uncertainties** – RBI Governor Sanjay Malhotra highlighted global challenges, including stalled disinflation, delayed U.S. rate cuts, and a stronger dollar affecting emerging markets.
6. **Justification for Rate Cut** – The MPC believes inflation will ease further, projecting it to average 4.2% in 2025-26, down from 4.8% in 2024-25.
7. **Inflation Assumptions** – The inflation forecast depends on factors like normal monsoons, stable food prices, and a bumper harvest of key vegetables (tomato, onion, and potato).
8. **Economic Growth Concerns** – The RBI views weak economic growth as a more pressing issue than inflation, given the second-quarter slump and the lack of significant recovery.
9. **Post-Budget Policy Alignment** – The RBI's stance aligns with the government's fiscal policy, suggesting a coordinated effort between monetary and fiscal measures.
10. **Uncertainty Over Stimulus Impact** – It remains uncertain whether the Budget's stimulus and the rate cut will revive consumption, attract private investment, and accelerate growth.
11. **Timing of the Rate Cut** – If the MPC had met a week later, lower January inflation (expected at 4.5%) could have further justified the rate cut.
12. **New Leadership Influence** – With a new RBI Governor and an upcoming Deputy Governor appointment, the approach to monetary policy may see some changes.
13. **Need for a More Responsive Policy** – The RBI could consider adjusting its review schedule to align better with real-time inflation data.
14. **Enhancing Data-Driven Policy Making** – A more flexible meeting schedule could improve monetary policy effectiveness by incorporating the latest economic indicators.
15. **Balancing Growth and Inflation** – While inflation control remains important, the RBI's current focus suggests that reviving economic expansion is now the top priority.

Practice Exercise: Banking Pattern Based



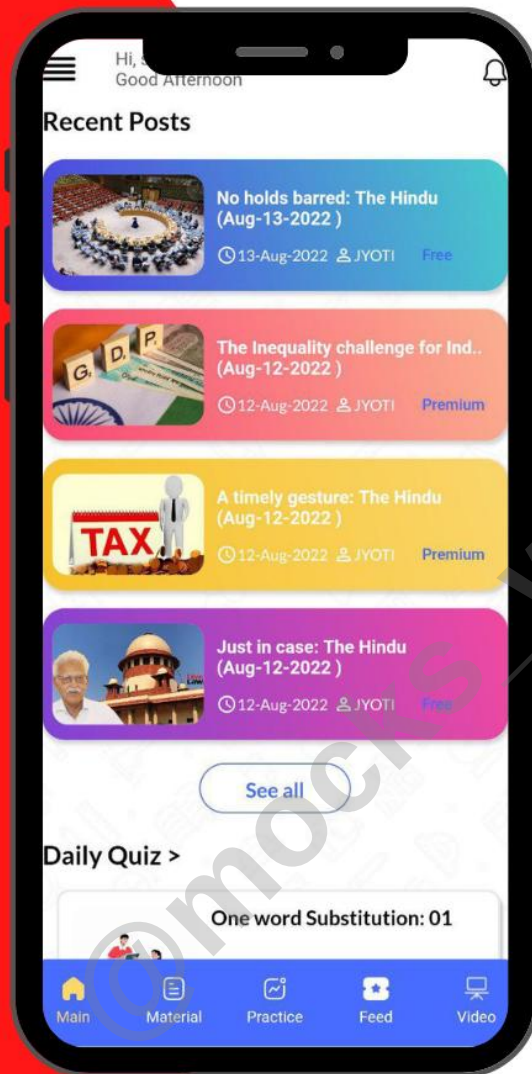
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam